Mid-America Apartment Communities (MAA) Investment Memo

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The call: Buy, $140 price target, ~23% total return

I rate Mid-America Apartment Communities (NYSE: MAA) a Buy at $118.86 (Nov 10, 2026 close) with a $140 price target: 18% upside plus a 5.1% dividend yield, about 23% total return.

MAA trades at a 17% discount to my net asset value of $142.51. Put differently, the stock prices its apartments at a 6.3% cap rate while private buyers pay about 5.5% for similar buildings. It's cheap because the Sun Belt was overbuilt, but that supply is clearing, and I expect the gap to close as rents recover in 2027.

The company

MAA is a real estate investment trust (REIT) that owns about 105,000 apartment units across 16 Sun Belt states, mostly in markets like Atlanta, Dallas, Charlotte, Nashville, Austin and Florida. As a REIT it pays no corporate income tax as long as it pays out most of its income, which is why it yields about 5%.

It is well run and conservatively financed: 95.3% occupied, net debt of 4.7x EBITDA, 79% fixed-rate debt at a 4.1% average rate, and a record-low 39.6% resident turnover.

The debate

Bears point to the Sun Belt supply wave. Developers built a record number of apartments, and new buildings are offering weeks of free rent to fill up (up to 10-12 weeks in Charlotte). MAA has had to cut rents on new leases by 6%, so 2026 same-store NOI is guided down 1.25%, and the recovery has been promised before and missed.

Bulls argue the supply wave has peaked. Construction starts have fallen sharply, demand is strong, and once the new buildings finish leasing up, MAA stops having to discount and rents recover.

My view

I side with the bulls because the evidence is turning. There are about 50,000 fewer units in lease-up across MAA's markets than in January, renewals are up 5.3%, October blended lease rates improved more than 100 bps year over year, and lead volume is running 10-15% above last year.

The weakness is not vacancy: MAA is 95% occupied. It is full at lower rents, because new buildings nearby are undercutting it on new leases. As that competition fades, I expect same-store NOI to turn positive in 2027 (+1%) and recover toward its long-run ~3% by 2028-29.

My forecast is not aggressive. AFFO per share stays almost flat in 2027 ($7.46) because rising interest costs offset the recovery, then grows about 5% a year in 2028-29.

Valuation

My $140 target blends two methods 50/50, and a peer cross-check lands in the same range.

Net asset value: $142.51 per share. I take Q3 NOI annualized and grown 0.5% ($1,358M), subtract a management fee ($73M) and a $300/unit capex reserve ($31M) so it matches how private buyers measure NOI, and capitalize the $1,255M at a 5.50% cap rate. Adding development at cost, cash and other assets and subtracting $5.8B of debt and other liabilities gives $16.9B, or $142.51 across 118.9M shares and OP units.

Implied cap rate: 6.27%. Run backwards, today's price values MAA's buildings at a 6.27% cap rate, 77 bps above the 5.25-5.50% where stabilized apartments are trading privately. I use the high end, 5.50%, to stay conservative; at 6.0% NAV would be about $127, still above the stock.

AFFO discount model: $137 per share. I discount AFFO per share for 2027-2031 at an 8.5% cost of equity with 2.75% terminal growth. The terminal value implies 17.9x AFFO, inside the 15-22x range apartment REITs have historically traded at.

Peers: MAA is the cheapest of the group.

Company	Price (Nov 10)	P / 2026 Core FFO	Dividend yield	2026 same-store NOI (guide)
MAA	$118.86	14.0x	5.1%	-1.25%

Company	Price (Nov 10)	P / 2026 Core FFO	Dividend yield	2026 same-store NOI (guide)
Camden (CPT)	$99.89	14.8x	4.2%	-1.0%
UDR	$36.66	14.4x	4.7%	+1.0%
Essex (ESS)	$275.75	17.1x	n/a	+3.0%

Camden, in the same Sun Belt markets with the same supply problem, trades at a higher multiple than MAA. Essex, on the West Coast where little was built, earns 17.1x for +3% growth: that premium is what MAA can earn back as supply clears. At the peer-average 15.4x, MAA would be worth about $131.

Catalysts

- **New-lease pricing turning less negative:** management expects only half the usual Q4 seasonal slowdown and renewals above 5%.
- **Q4 2026 results and 2027 guidance (around February 2027):** the first look at whether same-store NOI turns positive.
- **Lease-up communities stabilizing:** two in Q4 2026 and two more in 2027, plus eight developments delivering through 2029.
- **Private-market sales:** any Sun Belt portfolio trading near a 5.5% cap rate would highlight the discount to NAV.

Risks

- **The recovery slips again.** Management already pushed it back about a quarter. If same-store NOI stays near zero, 2029 AFFO is about $7.38 instead of $8.26, and the DCF value falls.
- **Cap rates rise.** At a 6.0% private-market cap rate, NAV drops to about $127, and the discount mostly disappears.
- **Higher interest costs.** Refinancing cheap older debt at today's rates is already a drag on 2027 AFFO.
- **Lingering supply in a few markets.** Charlotte, Phoenix and Savannah are still offering heavy concessions.

- **Dividend coverage.** The payout is about 82-85% of AFFO: covered, but with little room if AFFO falls.

Sources

- MAA Q3 2026 results press release (Oct 28, 2026)
- MAA Q3 2026 earnings call highlights
- Multifamily cap rates, stabilized deals at 5.25-5.50% (GlobeSt / RealPage)
- Camden Q3 2026 results (SEC 8-K)
- UDR 2026 guidance update (Oct 21, 2026)
- Essex Q3 2026 results (SEC 8-K)

Valuation model: MAA_NAV_DCF_Model.xlsx (share prices as of Nov 10, 2026).